

Economic complexity and corporate governance

Supplementary material

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Table [1](#) shows our supplementary results, where we define a country's corporate governance as its median governance across firms. We also show specifications in which we measure the dispersion of governance practices as the standard deviation of the governance index across firms.

Table 1: Supplementary results

	(1) ECI	(2) ECI+	(3) ECI	(4) ECI+	(5) ECI	(6) ECI	(7) ECI+	(8) ECI+	(9) ECI	(10) ECI+
ECI (lag)	5.03*** (0.00025)		1.05*** (0.044)		4.87*** (0.00033)	5.20*** (0.00022)			5.13*** (0.00022)	
ECI+ (lag)		20.6*** (6.0e-08)		1.15*** (0.034)			16.1*** (2.9e-07)	21.3*** (5.1e-08)		21.3*** (5.6e-08)
Mean of C. Governance	1.43*** (0.22)	3.43*** (0.077)								
Median of C. Governance			0.21 (0.16)	0.23* (0.14)	1.45*** (0.19)	1.78*** (0.20)	1.73*** (0.066)	3.36*** (0.068)	1.26*** (0.19)	1.43*** (0.068)
log of GDP per capita	-1.15*** (0.20)	-3.66*** (0.071)	-0.093 (0.091)	-0.18** (0.080)	-1.18*** (0.20)	-1.18*** (0.20)	-3.13*** (0.069)	-3.88*** (0.070)	-1.24*** (0.20)	-4.07*** (0.070)
Internet	-1.21*** (0.17)	-2.54*** (0.061)	-0.19 (0.14)	0.064 (0.13)	-0.99*** (0.17)	-1.18*** (0.17)	-1.63*** (0.060)	-2.51*** (0.061)	-1.12*** (0.17)	-2.50*** (0.061)
Population density	-0.014** (0.0067)	-0.023*** (0.0023)	0.010 (0.0073)	0.0045 (0.0061)	-0.024*** (0.0065)	-0.018*** (0.0067)	-0.044*** (0.0023)	-0.026*** (0.0023)	-0.018*** (0.0066)	-0.028*** (0.0023)
Years of Schooling	0.016 (0.025)	-0.049*** (0.0088)	-0.027 (0.027)	-0.025 (0.025)	-0.011 (0.024)	0.014 (0.025)	-0.12*** (0.0086)	-0.058*** (0.0088)	0.0059 (0.025)	-0.061*** (0.0088)
Rule of Law	0.55*** (0.096)	1.54*** (0.034)	0.020 (0.077)	0.012 (0.072)	0.52*** (0.095)	0.51*** (0.096)	1.23*** (0.033)	1.47*** (0.034)	0.54*** (0.096)	1.61*** (0.034)
Sd of C. Governance	-3.74*** (0.61)	-15.5*** (0.21)				-4.19*** (0.61)		-16.2*** (0.21)		
CV of C. Governance									-1.37*** (0.25)	-6.69*** (0.088)
Observations	112	112	372	372	112	112	112	112	112	112
Number of countries	22	22	51	51	22	22	22	22	22	22
Average number of periods	5.09	5.09	7.29	7.29	5.09	5.09	5.09	5.09	5.09	5.09
Period	2002-2009	2002-2009	2005 - 2014	2005 - 2014	2002-2009	2002-2009	2002-2009	2002-2009	2002-2009	2002-2009
Significance of Model (chi2)	419	7797	51.6	30.9	1947	2290	84432	152920	2191	152466
p-value	0.0000	0.0000	3.3e-06	0.0057	0.0000	0.0000	0.0000	0.0000	0.0000	0.0000

Notes. Bootstrapped standard errors based on 500 replications reported in parentheses. *** p<0.01, ** p<0.05, * p<0.1. The significance of the model refers to the chi-squared values for the Wald tests of joint significance of the explanatory variable coefficients, excluding the lagged dependent variable. The initialization is based on the Blundell and Bond system GMM estimator.

Tables 2 and 3 show the number of firms for each dataset that we use to build our indexes of corporate governance. We select only the observations used in the regressions and present the number of firms for each country that compose our final sample.

Table 2: List of countries and companies used from [Aggarwal et al. \(2011\)](#)

Country	Number of firms
Australia	188
Austria	40
Belgium	49
Canada	340
Denmark	38
Finland	60
France	168
Germany	142
Greece	70
Ireland	23
Italy	105
Japan	806
Netherlands	94
New Zealand	36
Norway	44
Portugal	30
Singapore	100
Spain	80
Sweden	72
Switzerland	103
United Kingdom	846
United States	8314

Table 3: List of countries and companies used from [Albuquerque et al. \(2019\)](#)

Country	Number of firms	Country	Number of firms
Argentina	8	New Zealand	26
Australia	330	Nigeria	5
Austria	16	Norway	41
Belgium	22	Pakistan	13
Bermuda	88	Panama	2
Brazil	127	Peru	6
Canada	302	Philippines	37
Chile	12	Poland	11
China	975	Portugal	10
Colombia	1	Romania	1
Denmark	29	Saudi Arabia	3
Estonia	1	Singapore	62
Finland	40	Slovenia	1
France	113	South Africa	91
Germany	42	Spain	48
Greece	12	Sri Lanka	7
Hungary	1	Sweden	75
India	762	Switzerland	37
Indonesia	56	Taiwan	300
Ireland	5	Thailand	35
Israel	19	Turkey	37
Italy	59	United Arab Emirates	8
Japan	1924	United Kingdom	354
Jordan	1	United States	2975
Malaysia	65	Vietnam	2
Mexico	38	Zambia	1
Netherlands	54		

References

- Aggarwal, Reena, Isil Erel, Miguel Ferreira, and Pedro Matos, “Does governance travel around the world? Evidence from institutional investors,” *Journal of Financial Economics*, 2011, 100 (1), 154–181.
- Albuquerque, Rui, Luis Brandão-Marques, Miguel A Ferreira, and Pedro Matos, “International corporate governance spillovers: Evidence from cross-border mergers and acquisitions,” *The Review of Financial Studies*, 2019, 32 (2), 738–770.